Desert Valley Health (fictional): Monthly Close Executive Summary

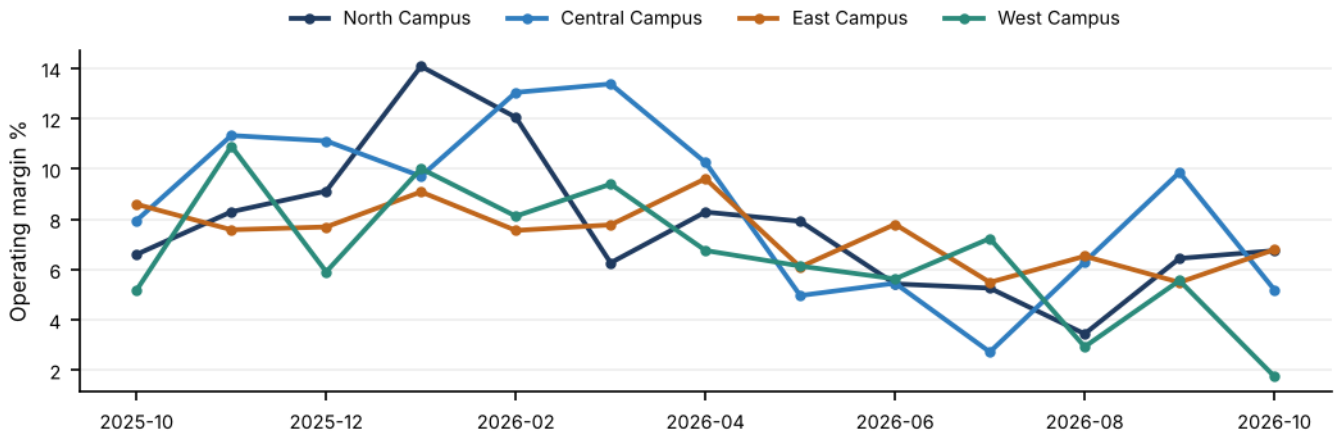
October 2026 · auto-generated · synthetic data

October 2026: operating income $3.49M vs $5.27M budget (-$1.78M); operating margin 5.3% vs 8.0% budget. Net patient revenue $65.47M (-1.0% vs budget).
Largest unfavorable variances:
- East Campus Med/Surg Nursing: Contract Labor $483K over budget (+439%), unfavorable. Patient days 2,372 vs 2,275 budget (+4.3%) accounts for $4K only. Agency hours 4,852 vs 900 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
- North Campus Surgical Services: Supplies $448K over budget (+13%), unfavorable. Surgical cases 693 vs 718 budget (-3.5%) accounts for $120K only. Cost per surgical case $5,640 vs $4,820 budget (+17.0%): price or mix, not volume.
- Central Campus Emergency: Net Patient Revenue $303K under budget (-8%), unfavorable. ED visits 5,748 vs 5,750 budget (flat) accounts for $1K only. $302K from net rate / payer mix rather than volume.
- West Campus Emergency: Net Patient Revenue $301K under budget (-12%), unfavorable. ED visits 3,158 vs 3,538 budget (-10.7%) accounts for $263K of the variance.
Largest favorable variances:
- East Campus Med/Surg Nursing: Net Patient Revenue $196K (+8%), volume-driven.
- East Campus Med/Surg Nursing: Salaries & Wages $191K (-16%), rate / efficiency-driven.
Close controls: 5 passed, 3 need review, 0 failed. Review items: duplicate lines; account department fit; month over month fluctuation.

System income statement

	Actual	Budget	Fav/(Unfav)	%
Gross Patient Revenue	$259,672,960	$259,438,128	$234,832	0.1%
Deductions from Revenue	$194,204,229	$193,281,406	($922,824)	-0.5%
Net Patient Revenue	**$65,468,731**	**$66,156,723**	**($687,992)**	**-1.0%**
Salaries & Wages	$19,764,555	$19,990,274	$225,719	1.1%
Contract Labor	$2,112,329	$1,425,804	($686,525)	-48.2%
Benefits	$4,743,493	$4,797,666	$54,173	1.1%
Supplies	$17,439,428	$16,725,826	($713,602)	-4.3%
Drugs	$9,268,343	$9,137,912	($130,431)	-1.4%
Purchased Services	$4,307,957	$4,460,800	$152,843	3.4%
Other Operating Expense	$1,104,190	$1,107,000	$2,810	0.3%
Total Operating Expense	**$58,740,294**	**$57,645,281**	**($1,095,013)**	**-1.9%**
EBIDA	**$6,728,436**	**$8,511,441**	**($1,783,005)**	**-20.9%**
Depreciation & Interest	$3,239,000	$3,239,000	$0	0.0%
Operating Income	**$3,489,436**	**$5,272,441**	**($1,783,005)**	**-33.8%**

Operating margin trend



Material variances (top 10)

Facility / dept	Line	Variance	Driver	Commentary
East Campus Med/Surg Nursing	Contract Labor	($482,578)	Rate / efficiency	Contract Labor $483K over budget (+439%), unfavorable. Patient days 2,372 vs 2,275 budget (+4.3%) accounts for $4K only. Agency hours 4,852 vs 900 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
North Campus Surgical Services	Supplies	($448,276)	Rate / efficiency	Supplies $448K over budget (+13%), unfavorable. Surgical cases 693 vs 718 budget (-3.5%) accounts for $120K only. Cost per surgical case $5,640 vs $4,820 budget (+17.0%): price or mix, not volume.
Central Campus Emergency	Net Patient Revenue	($302,914)	Rate / efficiency	Net Patient Revenue $303K under budget (-8%), unfavorable. ED visits 5,748 vs 5,750 budget (flat) accounts for $1K only. $302K from net rate / payer mix rather than volume.
West Campus Emergency	Net Patient Revenue	($301,483)	Volume	Net Patient Revenue $301K under budget (-12%), unfavorable. ED visits 3,158 vs 3,538 budget (-10.7%) accounts for $263K of the variance.
Central Campus Surgical Services	Supplies	($266,288)	Volume	Supplies $266K over budget (+6%), unfavorable. Surgical cases 885 vs 849 budget (+4.2%) accounts for $174K of the variance. Cost per surgical case $4,925 vs $4,820 budget (+2.2%); mostly volume, unit cost close to plan.
East Campus Med/Surg Nursing	Net Patient Revenue	$196,110	Volume	Net Patient Revenue $196K over budget (+8%), favorable. Patient days 2,372 vs 2,275 budget (+4.3%) accounts for $108K of the variance.
East Campus Intensive Care	Contract Labor	($192,693)	Rate / efficiency	Contract Labor $193K over budget (+404%), unfavorable. Patient days 480 vs 493 budget (-2.6%) accounts for $1K only. Agency hours 1,968 vs 391 budgeted: contract staff are covering employed vacancies (check employed Salaries & Wages, likely under budget).
East Campus Med/Surg Nursing	Salaries & Wages	$191,159	Rate / efficiency	Salaries & Wages $191K under budget (-16%), favorable. Patient days 2,372 vs 2,275 budget (+4.3%) accounts for $42K only. Employed labor below plan; confirm whether vacancies are being backfilled with contract labor.
West Campus Administration	Drugs	($186,400)	Rate / efficiency	Drugs $186K over budget (no budget for this line), unfavorable. Drug expense posted to Administration (AP-W-8000-INV88412); no drug budget here. Reclass to Pharmacy proposed in Controls.

Facility / dept	Line	Variance	Driver	Commentary
Central Campus Administration	Purchased Services	$162,137	Rate / efficiency	Purchased Services $162K under budget (-20%), favorable.

Close controls

Control	Status	Detail
duplicate lines	WARN	1 duplicated journal line(s) removed: AP-C-6200-202610
journal entries balance	PASS	0 unbalanced of 129 journal entries
trial balance	PASS	debits $515,856,483.99 vs credits $515,856,483.99 (difference $0.00)
chart of accounts mapping	PASS	0 unmapped accounts, 0 unmapped cost centers
period cutoff	PASS	0 lines dated outside 2026-10
account department fit	WARN	possible misposting, reclass proposed: AP-W-8000-INV88412 $186,400 in W-8000
statistics complete	PASS	0 departments missing volume statistics
month over month fluctuation	WARN	E Contract Labor +333,051